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FINANCIAL SERVICES

PLAN YEAR 2027 | AGENT & BROKER RESOURCE

The Pre-65 Retiree Strategy Guide

Help clients bridge retirement and Medicare with confidence. Understand enrollment windows, coordinate income planning, and compare coverage that fits their doctors, prescriptions and budget.

2027 reference	Single	Couple / family
400% FPL: 48 states & DC	$63,840	$86,560
HSA base limit	$4,500 self-only	$9,000 family
HSA age-55+ catch-up	$1,000 per eligible owner	Up to $11,000 combined*

*The shared family base plus two catch-ups requires both spouses to qualify, sufficient contribution room, and separate HSAs for the catch-ups. Employer contributions count toward limits.

HealthCare.gov Open Enrollment: November 1, 2026 - January 15, 2027. Enroll by December 15 for January 1 coverage. Check state Marketplace deadlines.

Use this guide to review enrollment, annual income, HSA eligibility and the transition to Medicare. Verify individual eligibility before recommending an income strategy.

Interactive guide and calculator
Open the online guide
Scan the QR code for the current version.

For licensed agents and brokers. Educational information, not tax, legal or investment advice. Federal rules and state requirements may differ. Examples are illustrative. Not affiliated with or endorsed by any government agency.

A client base hiding in plain sight

Early retirees may need help coordinating health coverage with retirement income. This creates an opportunity to provide useful annual guidance and prepare for Medicare.

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Federal ACA age-rating rules generally allow a 64-year-old to be charged up to three times a 21-year-old's premium. States may impose tighter limits. Higher benchmark premiums can mean larger tax credits when otherwise eligible.

1-10 yrs

A typical planning horizon for clients retiring at ages 55-64. Review coverage each Open Enrollment; individual Medicare eligibility dates can differ.

Age 65

Most clients become eligible for Medicare at 65. Plan the transition individually; some qualify earlier or have different enrollment needs.

Why they need an advisor, not a quote

- **The enrollment rules aren't intuitive.** Retiring doesn't create a Special Enrollment Period. Losing job-based coverage does.
- **Some income can be planned.** Withdrawal sources, conversions and asset sales can affect MAGI. Pensions, Social Security, required distributions and investment payouts may limit flexibility.
- **The penalty for getting it wrong is large.** The 400% FPL cliff and the end of repayment caps mean a single bad withdrawal can cost a household thousands in premium tax credits.
- **Coordination matters.** Work with the client's financial planner and tax professional to connect coverage decisions with their broader retirement plan.

Official sources: Age-rating rules

Enrollment & Special Enrollment Period rules

Outside Open Enrollment, a consumer generally needs a qualifying Special Enrollment Period (SEP). Retirement alone is not a qualifying event.

Situation	SEP?	What to tell the client
Retiring (by itself)	No	Retirement isn't a qualifying event. The *loss of coverage* that comes with it is.
Losing job-based coverage at retirement	Yes	Loss of minimum essential coverage opens a 60-day window, and they can apply up to 60 days *before* the coverage ends. Plan the date so there's no gap.
Spouse's employer coverage ends	Yes	Each person losing coverage qualifies, including dependents.
Electing COBRA, then dropping it mid-year	No	Voluntarily dropping COBRA does not itself create an SEP. Switching may still be possible within the original 60-day loss-of-coverage window, when employer COBRA contributions or government premium assistance end, or under another SEP. Otherwise, use Open Enrollment.
COBRA runs out (exhaustion)	Yes	Reaching the end of the COBRA period counts as loss of coverage.
Retiree health plan ends or employer drops it	Yes	Involuntary loss of retiree coverage qualifies.
Moving to a new state or ZIP in retirement	Often	A qualifying permanent move generally must provide access to new Marketplace plans, with qualifying coverage for at least one day in the prior 60 days. Exceptions apply, including certain moves from abroad; vacation or medical-treatment-only moves do not qualify.
Open Enrollment	Anyone	No qualifying life event is needed, but ordinary Marketplace eligibility requirements still apply. Compare effective dates before ending COBRA.

COBRA and retiree coverage: eligible vs. enrolled

Being **eligible** for COBRA or retiree coverage doesn't block the premium tax credit. Enrollment in qualifying COBRA or retiree coverage generally blocks the credit for that individual for the covered months; verify month-specific eligibility. Run the marketplace numbers before the client signs the COBRA election. COBRA often costs 102% of the full group premium, and a subsidized marketplace plan can come in far lower.

The retirement-year trap: eligibility for the premium tax credit is based on *annual* household income. A client who retires in June still reports the January-June salary, PTO payout, severance and bonus for that year. Projected income for the retirement year may push them over the cliff even though their January income will be much lower. Compare COBRA for the rest of the first year with a marketplace plan starting January 1, then compare total cost, accumulated deductibles, networks, prescriptions and effective dates.

Official sources: Retiree coverage COBRA switching rules CMS SEP guidance 2027 enrollment dates

What counts as MAGI, dollar for dollar

Marketplace subsidies are based on household Modified Adjusted Gross Income: AGI, plus tax-exempt interest, plus the **non-taxable** portion of Social Security, plus excluded foreign income. Count each income item once and confirm tax treatment with the client's tax professional.

Income source	Counts?	Notes
Traditional IRA / 401(k) / 403(b) withdrawals	Taxable part	Fully pretax distributions generally count in full. A return of after-tax basis does not; confirm the taxable amount.
Roth conversions	Taxable part	Only the taxable portion counts in the conversion year. After-tax basis and pro-rata rules can affect the amount. Do not count a conversion again as a separate withdrawal.
Social Security benefits	Yes, 100%	ACA MAGI adds back the non-taxable part, so the *whole* benefit counts, not just the taxable portion (up to 85%).
Pensions and annuity payments	Yes	Only the taxable portion counts. Return of after-tax basis doesn't.
Wages / part-time employment	Yes	Federal taxable wages count. Self-employment deductions do not apply to ordinary wages.
Self-employment / consulting	Yes	Use net business income after allowable expenses. Deduct the allowable portion of self-employment tax once as an adjustment to income.
Other countable income	Yes	Include unemployment compensation, net rental/royalty income and excluded foreign income, as applicable. This table is not exhaustive.
Capital gains, dividends, interest	Yes	Tax-exempt muni interest counts too. Only taxable gain counts, not the sale proceeds. Excluded principal-residence gain does not count; allowable losses may reduce AGI.
Qualified Roth IRA / Roth 401(k) withdrawals	No	Tax-free and not part of MAGI, a key tool for managing income.
Cash savings, return of principal	No	Spending from a checking or savings account doesn't create income.
HSA qualified distributions	No	Tax-free when used for qualified medical expenses.
Loan proceeds, reverse-mortgage draws, gifts	No	Not income.

Household MAGI includes the tax filer, spouse, and any dependents required to file a return. Married couples generally must file jointly to claim the credit (limited exceptions apply).

Official sources: Marketplace income IRA basis and conversions

The 400% FPL subsidy cliff

The enhanced subsidies that removed the upper income cap expired at the end of 2025. For Plan Year 2027, households with income above 400% of the federal poverty level get **no premium tax credit at all**. For otherwise eligible households at 300%-400% FPL, the 2027 applicable percentage is **10.22%**; lower income bands use lower percentages. The credit depends on the benchmark premium, enrollment premium, eligible people and coverage months. Being below the cliff alone does not establish eligibility.

Illustrative couple, age 62 and 63

Benchmark silver premium: about **$2,100/month** ($25,200/yr).

- **MAGI $86,000** (397% FPL): expected contribution of 10.22% = $8,789.20, so the tax credit is **about $16,411**.
- **MAGI $87,000** (402% FPL): tax credit is **$0**.

An extra $1,000 of taxable income eliminates about $16,411 of credit in this illustration. Assumes both spouses qualify for all 12 months, no other disqualifying coverage, and an enrollment premium high enough to use the calculated credit. Premiums vary by ZIP code and plan.

No more safety net at tax time

Starting with tax year 2026, the caps that limited how much excess advance credit a household had to repay are gone. If a client's actual income goes over the cliff, they repay **every dollar** of the advance credit when they file.

Full repayment of excess advance credits also applies below 400% FPL. Check income and other eligibility changes mid-year and again in Q4.

The floor matters too

Early retirees living on cash savings or Roth money can report income so *low* that it causes a different problem:

- **Medicaid uses a different income timing test.** Expansion-adult eligibility is generally associated with 138% FPL, but usually uses current monthly income, state rules and other eligibility criteria. Using 2026 guidelines, the annualized amounts are about $22,025 single / $29,863 couple; these are reference amounts, not fixed 2027 Medicaid limits. Check the state's current thresholds. MAGI-based Medicaid has no asset test; other Medicaid categories can have different rules.
- **Below 100% FPL** ($15,960 single / $21,640 couple for 2027 Marketplace calculations): households generally do not qualify for a premium tax credit and may face a coverage gap if not eligible for Medicaid or another program. Confirm any applicable exception with the Marketplace and tax professional.

A one-time gain or Roth conversion can change annual Marketplace MAGI without changing Medicaid eligibility for every month. Medicaid generally counts a lump sum in the month received, with state-specific rules for predictable income changes. Coordinate with the state agency before using an income strategy. Otherwise eligible households at or below 250% FPL may qualify for income-based cost-sharing reductions on Silver plans.

Sources: HHS poverty guidelinesIRS: Premium tax credit basicsHealthCare.gov: What to include as income

Official sources: 2027 applicable percentages PTC eligibility and repayment Medicaid income rules

Using the online calculator

Use annual household income even for partial-year coverage. Enter the taxable portions of withdrawals and conversions once, all other countable income, and only allowable deductions. Confirm HSA room before claiming a deduction. Select eligible months and PTC-eligible premiums; the tool assumes the same eligible people and premiums across those months. Final PTC is calculated month by month.

Levers that pull clients back under the cliff

You aren't the tax preparer, but you should know which levers exist so you can bring them up and coordinate with the client's financial advisor or CPA.

1. Mix the withdrawal sources

Fund living expenses from a combination of cash, taxable brokerage principal, and Roth money so only part of each year's spending counts as MAGI. Only the gain on a taxable sale counts, not the whole sale.

2. Right-size Roth conversions

Coordinate the taxable conversion amount with the tax professional and leave room for unexpected income. Roth conversions cannot be recharacterized. Reviewing the full-year projection before a conversion can help avoid crossing the cliff.

3. Time Social Security

Delaying Social Security can lower pre-Medicare MAGI and generally increase the monthly retirement benefit, up to age 70. Total lifetime benefits depend on longevity, household needs and other circumstances; compare the full retirement plan.

4. Use HSA contributions

An above-the-line deduction that, unlike a traditional IRA contribution, **doesn't require earned income**. See the next section.

5. Bunch big events

Model the tax and coverage effects before timing a large withdrawal, conversion or asset sale. Only taxable home-sale gain affects MAGI: qualifying principal-residence gain may be excluded up to $250,000, or $500,000 for qualifying joint filers. Income after Medicare starts may increase later IRMAA premiums and affect a younger spouse's Marketplace credit.

6. Harvest gains on purpose

Realizing taxable gains can raise annual MAGI and reset cost basis, but does not guarantee Marketplace eligibility or end Medicaid eligibility for all months. Review monthly Medicaid rules, taxes and the overall investment plan first.

Your talking point: "Your financial advisor plans how much income you take each year. I help evaluate how those numbers affect your coverage options and potential tax credit. Let's get all three of us on the same page before you take your next withdrawal."

Official sources: Social Security timing Home-sale exclusions Roth conversion rules

The HSA play

Pairing an HSA-qualified plan with HSA contributions is one of the few ways a retiree can *lower* MAGI after the income is already earned.

1. **Enroll in an HSA-qualified plan.** Starting in 2026, marketplace **Bronze and Catastrophic** plans count as HSA-compatible under federal law, along with any plan the carrier designates as an HSA-qualified HDHP. That gives you many more options than before.
2. **Open an HSA.** Any HSA custodian works. It doesn't have to be tied to an employer. A spouse 55+ who wants the catch-up needs their own HSA.
3. **Contribute up to the 2027 limit.** $4,500 self-only / $9,000 family, plus $1,000 for each eligible person 55 or older. A couple with both spouses age 55+ and full-year HSA eligibility under family coverage can contribute up to **$11,000 combined**. The $9,000 base limit is shared; each catch-up goes to its owner's HSA. Employer contributions reduce the remaining room.
4. **Lower MAGI dollar for dollar.** An allowable personal contribution is an above-the-line deduction and requires no earned income. Employer and pretax payroll contributions are already excluded from income and cannot be deducted again. An IRA-to-HSA qualified funding distribution is not a separate deduction.
5. **Make the final decision after year-end.** An allowable contribution designated for 2027 can generally be made until the regular 2027 federal return filing deadline in April 2028, without extensions. It must fit the remaining 2027 limit. Enrolling in an eligible plan in 2028 does not create 2027 eligibility. A qualifying deduction may bring final MAGI back to or below the cliff.

HSA guardrails to review with the client:

- Eligibility generally requires qualifying coverage on the first day of the month, no disqualifying additional coverage, no Medicare enrollment and not being claimable as another taxpayer's dependent. A general-purpose FSA (including a spouse's FSA covering the client) or HRA can disqualify contributions. Confirm permitted exceptions. Limits generally follow eligible months; the last-month rule has a testing period.
- Medicare-covered months do not create HSA contribution eligibility. Part A can be retroactive up to six months, but not before initial Medicare eligibility; Social Security enrollment at or after 65 can trigger Part A. Plan contributions around the effective date, not just the application date. Contributions allocated to earlier eligible months can still be made by the applicable deadline.
- Funds already in the HSA can be used tax-free for qualified expenses for life, including qualifying Medicare premiums (not Medigap) once the HSA owner is 65 or older. Ordinary Marketplace premiums generally are not qualified HSA expenses; limited exceptions include certain coverage while receiving unemployment compensation.
- Compare total cost: a lower premium and the tax savings against a higher deductible. A Silver plan with cost-sharing reductions may still be the better fit for lower-income households.

Catastrophic does not mean subsidized. Catastrophic plans cannot receive premium tax credits. People age 30 or older need an applicable hardship or affordability exemption. Compare an eligible Bronze or Silver plan before choosing Catastrophic coverage.

Sources: IRS: 2027 HSA limitsIRS: Bronze and Catastrophic HSA guidanceCatastrophic eligibilityIRS Publication 969HealthCare.gov: HSA-eligible plans

The Medicare handoff: a client for life

The pre-65 relationship has a natural next step. Map it out from the first meeting so the client knows you'll be with them at 65.

When	What you do
Age 63	Bring up IRMAA. Part B and D premiums generally use tax information from **two years earlier**. IRMAA MAGI is AGI plus tax-exempt interest, unlike ACA MAGI. Large taxable conversions can raise later premiums. A qualifying life-changing event, such as retirement with reduced income, may support a request for a new determination.
3 months before 65	The usual seven-month Initial Enrollment Period begins three months before the 65th-birthday month. Confirm the individual start date, including first-of-month birthday rules, current-employment coverage and any earlier Medicare eligibility. Review Parts A/B, Medigap, Medicare Advantage and Part D.
Medicare start month	Premium-free Part A eligibility generally ends eligibility for Marketplace premium assistance, subject to IRS timing rules. **Update the Marketplace application and coordinate termination** for the transitioning spouse with Medicare's start date; coverage does not end automatically. Do not assume every retroactive overlap requires repayment: IRS government-coverage timing exceptions may apply.
Younger spouse	May stay on Marketplace coverage if otherwise eligible. Update who needs coverage, while keeping the full tax household and both spouses' countable income on the application. Recalculate premiums and assistance; the Medicare spouse does not disappear from the tax household.

Also look at your existing Medicare book. Medicare clients with a **spouse under 65** who's retiring are pre-65 prospects you already have a relationship with.

Official sources: Marketplace to Medicare IRS timing exceptions IRMAA definition Medicare enrollment

Compliance guardrails

- Complete Plan Year 2027 Marketplace registration and training before you enroll anyone. See the ACA Certification Hub for federal and state requirements.
- Document consumer consent before providing assistance and separately document the consumer's review and confirmation of application accuracy before submission. For the federal Marketplace, retain both records for at least **10 years** and provide them to CMS on request, including after the client relationship ends. Follow applicable state requirements too.
- Use the client's own good-faith income projection. You can explain what counts as income, but the client attests to the number.
- Stay in your lane on tax and investment advice. Explain how the rules work, and send specific tax, withdrawal and conversion decisions to a CPA, enrolled agent or licensed financial professional.
- Follow your state's insurance department rules and each carrier's marketing guidelines for ads, social posts and seminars.

Official sources: Consent and application-review requirements 2027 registration and training

The blueprint: find, close and keep

Where to find pre-65 retirees

Referral partners

- Fee-only financial planners and RIAs
- CPAs and enrolled agents (especially Q4 tax planning)
- Estate-planning attorneys
- Retirement-income and annuity specialists

Your own book

- Younger spouses of Medicare clients
- Individual clients turning 55-64
- Life, annuity and P&C clients near retirement
- Past COBRA quotes that never converted

Life events

- Early-retirement and voluntary separation packages
- Layoffs and plant closings (public WARN notices)
- Retiring teachers, public-safety and municipal employees whose retiree coverage is limited or ends
- Business owners selling a company

Content & community

- Short videos on the cliff and SEP myths
- "Retiring before 65?" workshops at libraries and community centers
- LinkedIn posts aimed at people 55-64 and their advisors
- Co-hosted webinars with a financial planner

Discovery & annual service

The discovery conversation

1. When does your employer coverage end, and is there a retiree plan or COBRA offer?
2. Who's in your tax household, and when does each person turn 65?
3. What income will you have this year and next year: pension, Social Security, withdrawals, consulting, investment income?
4. Is a Roth conversion, home sale or large withdrawal planned in the next few years?
5. Which doctors, hospitals and prescriptions must stay in network?
6. Who is your financial advisor or CPA, and may I coordinate with them?

A talk track that positions you as the advisor

"Most people don't realize that retiring doesn't give you a special enrollment period, but losing your work coverage does. And because your subsidy is based on your *annual household* income, a single large IRA withdrawal or Roth conversion can cost you thousands. My role is to compare your coverage options, coordinate with your tax and financial professionals, and help you prepare for Medicare."

Annual service calendar

When	Touchpoint
Nov - Jan (Open Enrollment)	Re-project next year's MAGI, re-shop plans, confirm networks and drug lists, and decide on an HSA plan.
Feb - Apr (tax season)	Remind clients to reconcile on Form 8962 with Form 1095-A, and coordinate any prior-year HSA contribution with their CPA.
Mid-year	Income check-in. Report changes to the Marketplace promptly so advance credits stay accurate.
September - October	Q4 planning call with the client and their financial advisor before any conversion or harvesting.
Birthdays 63 & 64	Start the IRMAA and Medicare conversation.

Frequently asked questions

Does a big 401(k) balance disqualify someone from subsidies?

No. Marketplace subsidies look at income, not assets. A household with a large balance may qualify when income and all other eligibility requirements are met. Only the taxable portion of withdrawals counts; the upper income limit is at or below 400% FPL.

Does income from the year before retirement matter?

The Marketplace uses projected income for the coverage year. The retirement year itself includes any wages earned before retiring, which is why the first partial year often needs separate planning.

What if a client's income comes in higher than projected?

They reconcile on Form 8962. Starting with tax year 2026, there's no cap on repaying excess advance credits. Clients near the cliff should report income changes during the year, and may be able to use a deductible HSA contribution before filing.

Can a client take less advance credit to be safe?

Yes. Clients can choose to take only part of the credit in advance and claim the rest at tax time. That can be a sensible cushion for retirees whose income is uncertain.

Are tax-free Roth withdrawals really excluded?

Qualified Roth distributions aren't included in AGI and aren't added back for ACA MAGI. Non-qualified distributions of earnings can be taxable, so confirm the client's Roth holding period and age with their tax advisor.

Are the enhanced subsidies coming back?

As of this guide's review date, the enhanced credits have expired and the 400% FPL limit is back for Plan Year 2027. Congress could change that. Check current law before quoting. The IRS has published the 2027 applicable-percentage table; the maximum rate used here is 10.22%.

Case support

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Client MAGI worksheet

Client / spouse: _____
Tax household size / state: _____
Coverage dates / Medicare dates: _____

Projected 2027 annual household income	Amount
Federal taxable wages	$
Net self-employment / consulting income	$
Traditional-account withdrawals: taxable, excluding conversions	$
Roth conversions: taxable portion only	$
Social Security: full benefit, excluding SSI	$
Pensions / annuities: taxable portion	$
Investment income, including tax-exempt interest	$
Other countable income: unemployment, net rent, foreign income, etc.	$
A. Total countable income	$
Allowable personal HSA deduction (confirm eligibility / room)	- $
Other allowable AGI adjustments (count each deduction once)	- $
B. Projected ACA MAGI	$
400% FPL threshold / remaining headroom	$

Household	100% FPL	250% FPL	400% FPL
1	$15,960	$39,900	$63,840
2	$21,640	$54,100	$86,560
3	$27,320	$68,300	$109,280
4	$33,000	$82,500	$132,000

Uses 2026 HHS guidelines for 2027 Marketplace coverage in the 48 contiguous states and DC; Alaska and Hawaii differ. Medicaid generally uses current monthly income and current state rules. This annual worksheet does not determine Medicaid or Marketplace eligibility.

Confirm: enrollment window; doctors and prescriptions; other coverage; HSA eligibility and unused room; tax-professional review; consumer consent and application review; Medicare timing.